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Introduction to economics for freshman students (social-science)

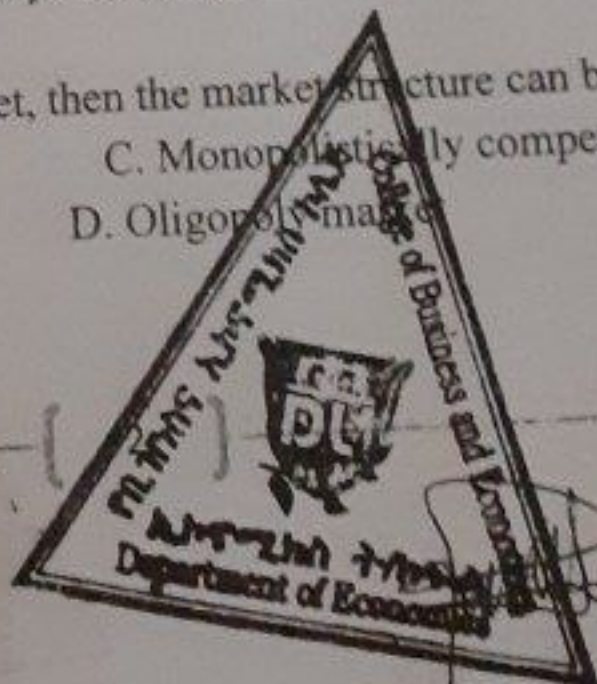
- B. The total utility is increasing at increasing rate
C. The total utility is increasing at decreasing rate
D. The total utility is decreasing
- 5) Which best expresses the law of diminishing marginal utility?
A. The more consumption of a product, the smaller is the total and greater is the utility from the consumption
B. The more consumption of a product, the smaller is the total and marginal utility from the consumption.
C. The less consumption of a product, the greater is the total utility and the less is the marginal utility of the consumption.
D. The more consumption of a product, the smaller is the marginal utility from consuming an additional unit.
- 6) Suppose you prefer basket of good B to C but you do not care if you get basket of good A or B, then
A. Both A and B are on the same higher indifference curve than C
B. A is on a higher indifference curve than B.
C. C is on a higher indifference curve than A.
D. B and C are on the same indifference curve.
- 7) Consider that the consumer price index in a given country in 2012 G.C was 120 while in 2011 G.C, it was 100. Then the inflation rate in 2012 was:
A. 30 % B. 15 % C. 25 % D. 20 %
- 8) Diminishing marginal returns implies
A. Decreasing average fixed costs
B. Decreasing average variable costs
C. Decreasing marginal costs
D. Increasing marginal costs E. None of the above
- 9) Which of the following cost curve is never "U" shaped?
A. Average fixed cost curve C. Average variable cost curve
B. Average cost curve D. Marginal cost curve E. None of the above
- 10) Which stage of production is recommendable for rational firms to produce?
A. Stage I B. Stage II C. Stage III D. A & B E. B & C
- 11) Average total cost and marginal cost are defined as ----- and -----, respectively
A. Quantity divided by total cost ; the change in quantity divided by the change in cost
B. The change in total cost divided by the change in quantity; total cost divided by quantity
C. Total cost divided by quantity; the change in total cost divided by the change in quantity
D. The change in quantity divided by the change in total cost; quantity divided by cost
- 12) If there are two firms in the market, then the market structure can be considered
A. Monopoly market C. Monopolistically competitive market
B. Perfectly competitive market D. Oligopoly market

$$S = \frac{P_t - P_{t-1}}{P_{t-1}} \times 100$$

$$= \frac{120 - 100}{100} \times 100$$

$$= \frac{20}{100} \times 100$$

$$= 20\%$$



Dilla University

College of business and economics

Department of economics

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Time allowed: 2hrs Max mark: 50

General Instructions: Please read carefully.

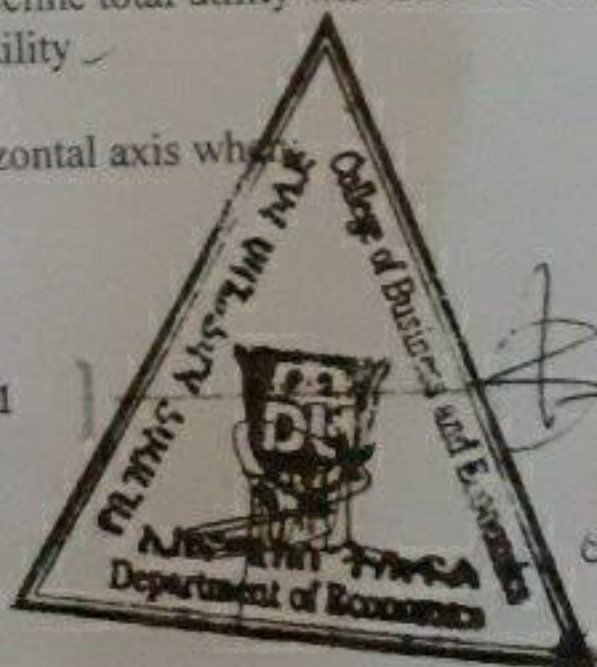
- Check that the exam has 3 parts
- You must write your answers in the space provided in answer sheet
- Cheating is strictly forbidden,
- Switch of your mobile, never use it for any purpose in exam room
- Answers should be as concise as possible.

Part one: write 'True' if the statement is correct and 'False' if it is incorrect (5pts)

- F 1) Real GDP is the monetary value of currently produced final outputs measured at current market price
- F 2) The difference between accounting profit and economic profits is in the treatment of explicit cost
- T 3) The economic problem results from the fact that resources are scarce but human wants tend to be limitless.
- T 4) An increase in the price of one good, other thing remains constant encourages consumers to shift to other goods.
- T 5) Construction of an indifference curve requires ordinal utility concept.

Part three: Choose the best answer from the alternatives given (30pts).

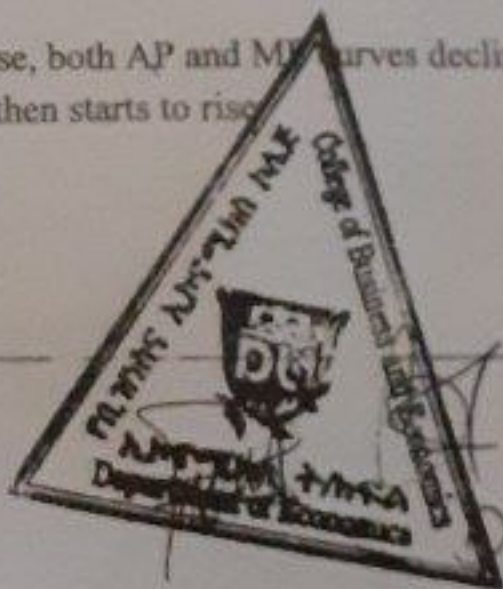
- 1) Indifference curve slopes
 - A. Upward to the right
 - B. Downward to the left
 - C. Downward to the right
 - D. Upward to the left
- 2) Which of the following statement regarding Utility is not true?
 - A. It helps consumers to make choices
 - B. It is a want satisfying power of a commodity
 - C. Utility is always measurable
 - D. It is purely a subjective entity
- 3) Which one of the following is not correct
 - A. Total utility is maximum when marginal utility become zero ✓
 - B. As marginal utility of consumption decline total utility will decrease at all
 - C. Marginal utility is the slope of total utility ✓
 - D. None of the above
- 4) Marginal utility curve will be below horizontal axis when
 - A. The total utility is maximized



Introduction to economics for freshman students (social-science) Final exam**

- 13) Based on the number of sellers in the market, which one shows descending order?
A. Perfectly competitive market → Oligopoly market → Monopolistically competitive market → Monopoly market
B. Monopolistically competitive market → Perfectly competitive market → Monopoly market → Oligopoly market
C. Perfectly competitive market → Monopolistically competitive market → Monopoly market → Oligopoly market
D. Perfectly competitive market → Monopolistically competitive market → Oligopoly market → Monopoly market
- 14) Which one of the following is not the feature of monopoly market?
A. Perfect knowledge
B. A firm is price maker
C. There is no industry concept
D. There is only one firm in the market
- 15) Identify incorrect statement
A. The minimum point on ATC curve is reached corresponding to a larger output than the minimum point on AVC curve
B. ATC curves never touches AVC curves because the vertical distance between ATC and AVC is AFC which is always positive
C. MC is affected by fixed cost because fixed cost does not change with output
D. MC is dependent on variable cost because variable cost does change with output
- 16) In perfect competition, the product of a single firm
A. Is sold under differing brand names
B. Is sold to different customers at different prices
C. Has many perfect complements produced by other firms
D. Has many perfect substitutes produced by other firms
- 17) One is incorrect about profit maximization?
A. According to marginal approach, at profit maximizing level of output marginal cost cuts marginal revenue from below
B. According to total approach, the maximum profit can be achieved at the point where the positive difference between total revenue and total cost is maximum
C. According to marginal approach, the maximum profit can be achieved at point where marginal revenue must be equal to marginal cost so as MC is rising
D. According to total approach, once profit is maximized, total profit remains the same if one more or one less of output is produced
- 18) Which one of the following is not true about the relationship between Marginal Product and Average Product
A. When the Marginal product curve lie above the Average Product curve, the average product curve is rising
B. When the amount of the variable input increase, both AP and MP curves declines initially, reach their respective minimum and then starts to rise

{ 3 }



no
AP
= 2
J